

underweighted in equities at 28% and overweighted in cash at an astounding 52%. The group with the longest potential runway for absorbing market volatility seems to be the least interested in investing in stocks.

Time, not timing, is key to investing success.

What makes market timing so difficult? Those of you who fantasize about being able to sidestep the downturns but still participate in the recoveries must ask yourself three simple questions:

1. What repeatable (not chance-based) process would have had you selling equities near the last 10 market highs?
2. What process would you have followed to buy back in after a 30+% panic collapse?
3. Most importantly, have you demonstrated the necessary discipline to ignore every instinct in each fiber of your being to make a timely repurchase at the lows?

Both ends of those trades are hard to time, emotionally challenging to execute, and much more costly than many realize.

In July of 2020, my Bloomberg colleague Farnoosh Torabi announced she was reducing her equity exposure from 81% of her portfolio to 60%, and tripling fixed-income holdings to 27% in her retirement accounts.²²⁹ For a variety of reasons, not least of which was age—she was 40 at the time and had decades before she retired—I thought those actions were inadvisable.

Why? Consider all that has to go right when timing the market, including the emotional challenges and financial costs. Here we are five years later, and markets are appreciably higher.

The exit

What motivates people to exit equities, in whole or in part? Most of the